

ACE

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ACE Concall Summary

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KEY HIGHLIGHTS

- **Financial Performance (Q3 FY26):** Total income remained flattish YoY at INR 888 crores. EBITDA grew 2.48% to INR 164 crores, with margins expanding 74 bps to 18.5%. PBT increased 4.28% to INR 151 crores, and PAT grew 8.15% to INR 115.88 crores.
- **Financial Performance (9M FY26):** Total income declined 3.21% YoY to INR 2,373 crores due to H1 softness. Despite this, EBITDA grew 7.15% to INR 458 crores (margins expanded 186 bps to 19.32%), and PAT increased 11% to INR 316 crores (margins expanded 171 bps to 13.34%).
- **Sequential Improvement:** Q3 operational revenues grew 15% QoQ, and EBITDA increased 16.28% QoQ.
- **Segment Mix:** Crane, Material Handling, and Construction Equipment segments contributed 90% of total revenue (INR 763 crores, +10% QoQ) with 20% margins. Agri segment contributed 10% (INR 89.44 crores).
- **Demand Recovery:** Initial softness from BS III/IV to CE V V transition stabilized in Q2 and returned to normalcy in Q3. Q3 sales were encouraging despite a high base from last year's pre-buying.
- **New Product Portfolio:** Unveiled new generation technology-powered equipment, including intelligent tower cranes, AI-assisted pick & carry cranes, advanced AWP, and high-performance telehandlers, emphasizing productivity, safety, and reduced TCO. Many new features are patented.
- **New Labour Codes Impact:** Margins were impacted by a INR 5.5 crore provision for additional gratuity and leave encashment.

GROWTH DRIVERS

- **Government Focus & Capex:** Favorable operating environment expected from timely project awards, improved execution, supportive policy measures, and higher government capital expenditure (budgeted at INR 12.21 lakh crores for FY27, +11.5% YoY, 3.1% of GDP).
- **Infrastructure Initiatives:** Budget prioritizes infrastructure and manufacturing through the enhancement of the Construction and Infrastructure Equipment (CIE) scheme, infrastructure risk guarantee fund, dedicated freight corridors, national waterways, and high-speed rail corridors. Support for Tier 2/3 cities via AMRUT scheme.
- **Global Trade Dynamics:** India-EU FTA and proposed U.S. deal are structural positives, reigniting the "China Plus One" strategy and boosting manufacturing growth.
- **Defense Sector:** INR 500-550 crores of orders in hand, with execution starting soon. Expecting 4-5% revenue contribution in FY27 (up from ~2% in FY26). Expecting orders for 150 Heavy Recovery Vehicles (HRV) in tie-up with Ashok Leyland.
- **Exports:** Expected to grow to 6-7% of revenue in FY26 (from 4% in FY25), targeting 10-15% (defense + exports combined) by FY27.
- **Product Innovation:** New generation cranes with AI-based features, clutchless transmission, rigid chassis, and enhanced safety are driving market differentiation and pricing power.
- **Backhoe Loaders:** Expecting 3x growth in 5 years, with domestic and export markets contributing to growth. Gained marginal market share in 9M FY26 despite market contraction.
- **Electric Cranes:** Expected to be ready for commercial sale in Q4 FY26, pending ARAI battery approval, opening new market opportunities including potentially developed countries in the future due to global Tier 5 emission standards.
- **Improved Market Sentiment:** Strong traction observed since December, continuing into January and February, driven by positive policy announcements and economic outlook. EPC companies seeing improved payments and fresh orders.

MANAGEMENT GUIDANCE

- **FY26 Top Line:** Expected to be "flattish" in value terms, with some volume decline but expected to be recovered next year.
- **FY26 Margins:** Expect improved margin profile compared to last year.
- **Long-term Revenue (FY29-30):** Targeting INR 6,000-7,000 crores.

- **FY27-28 EBITDA Margins (steady state):** Expect ~18-19% (including other income) or ~15%+ (excluding other income).
- **Agri Segment Target:** Aiming to improve EBIT margin to 12-15% over the years (from current ~1% in Q3 FY26).

RISKS / CONCERNS

- **Chinese Competition:** Aggressive competition in heavy crane and excavator segments due to predatory pricing and attractive credit terms.
- **Regulatory Delays:** Anti-dumping duties recommended by DGTR for Chinese cranes in September have not yet been notified by the Finance Ministry, hindering domestic manufacturing of larger cranes.
- **Agri Segment Profitability:** The Agri segment is struggling, with profitability dropping to approximately 1% EBIT in Q3 FY26 due to provisioning.
- **Backhoe Loader Market Dominance:** Challenges in significantly increasing market share for backhoe loaders due to established financing networks that heavily favor competitors like JCB.
- **Economic Downturn:** General risk of major adverse events in the world or Indian economy.

CAPEX / EXPANSION

- **Current Capacity:** Upwards of INR 5,000 crores, expandable to INR 5,500-6,000 crores, providing sufficient capacity for the next 1-2 years of growth.
- **Modernization & Automation:** Ongoing focus to enhance efficiency.
- **Tower Crane Expansion:** Planning to expand capacity for tower cranes, including setting up a new plant in Palwal next year. Current tower crane capacity is 800-900 units, operating at ~80% (700 units expected in FY26).
- **Land Acquisition:** Acquired land in Palwal (22 acres and another 86 acres for future possession) and Indore (30 acres). Rationale includes future expansion, outward logistics rationalization (from Indore to South/West India), and diversifying input supply base. Indore plant development expected in 2-3 years.
- **Funding:** The company is debt-free with approximately INR 1,200 crores cash on books, expecting to fund all growth, including potential acquisitions, internally without external debt or equity raises.

ORDER BOOK / DEMAND

- **Defense Orders:** Approximately INR 500-550 crores worth of defense orders are in hand, with execution set to commence soon after procedural delays.
- **Market Traction:** Strong order booking and execution observed since December, continuing into January and February.
- **EPC Companies:** Order books are strong, and payment-related issues are reportedly getting resolved, leading to improved project execution.
- **Manufacturing Sector:** Showing signs of picking up, indicated by rising steel prices.

MARGINS COMMENTARY

- **EBITDA Expansion:** Overall EBITDA margins expanded in both Q3 FY26 and 9M FY26, despite a provision for new labor codes.
- **Construction Equipment Margins:** This segment reported an impressive 20% EBIT margin in Q3, considered near peak, with potential for further improvement from operating leverage.
- **Agri Segment Margins:** Declined significantly in Q3 FY26 to approximately 1% EBIT due to certain provisions, but management aims for 12-15% in the future.
- **Gross Margin Sustainability:** Gross margins have consistently been in the 32-34% range (up from 29-30%) and are expected to be sustainable due to cost efficiencies, automation, productivity improvements, pricing power, and stable raw material costs.
- **Product Mix:** Shift towards new generation, higher-tonnage cranes, and advanced features (telematics, AI) is contributing positively to margin profile, as customers are willing to pay for these value-added, often patented, features.
- **Price Acceptance:** Price increases implemented due to CE V V norms are now fully accepted by customers after initial resistance in Q1 and Q2.

ANALYST Q&A KEY POINTS

- **Chinese Competition (Heavy Cranes):** Management highlighted aggressive Chinese dumping in large crane segments (truck & crawler cranes), leading to the closure of several domestic manufacturers. ACE's core pick-and-carry crane business is largely unaffected.
- **PLI Scheme (CIE):** Expected to be out in 2-4 months, focusing on import substitution for high-value equipment like crawler cranes, truck cranes, piling rigs, reach stackers, and AWP, where India has significant import dependence. ACE intends to leverage this.
- **Agri Harvester Market:** ACE is the #2 player in track harvesters with ~30% market share in this niche segment, and harvesters are driving higher realizations in the agri segment.

- **Backhoe Loader Competition:** JCB's dominance is primarily due to its entrenched network with NBFCs and financing companies, rather than superior product or pricing. ACE is actively working on strategies to break this cycle.
- **Electric Cranes Rollout:** Commercial sales expected in Q4 FY26, pending final regulatory approvals for batteries.
- **AI Integration:** Patented features make cranes "fail-safe," record operator actions for grading, include clutchless transmission for ease of use, and feature a rigid chassis for enhanced safety, making replication difficult for competitors.
- **Asset-Light Model:** The company intends to maintain its asset-light model and strong asset turnover ratio for future growth areas, including exports and defense.

RED FLAGS (IF ANY)

- **Unnotified Anti-Dumping Duties:** The non-notification by the Finance Ministry of the recommended anti-dumping duties on Chinese heavy cranes is a concern, though the upcoming PLI scheme might offer some compensatory benefits.
- **Agri Segment Underperformance:** The significant drop in Agri segment profitability to ~1% EBIT in Q3 FY26 indicates a struggling part of the business requiring focused improvement.
- **JCB Dominance in Backhoes:** The deeply entrenched financing ecosystem favoring JCB in the backhoe loader market presents a formidable barrier to ACE's market share expansion in this category.

OVERALL TONE (BULLISH / NEUTRAL / BEARISH)

Bullish. Despite a flat FY26, management exudes strong confidence in a significant rebound and accelerated growth trajectory from FY27 onwards. This optimism is driven by improving market sentiment, strong government support for infrastructure and manufacturing, strategic product innovations (especially patented AI-driven features), planned capacity expansions, and growing contributions from defense and exports. They acknowledge challenges (Chinese competition, agri segment) but present clear strategies to address them.